

MANAGEMENT REPORT ON INDIVIDUAL FINANCIAL STATEMENTS

FOR THE PERIOD ENDED ON **DECEMBER 31, 2017**



**MERLIN
PROPERTIES,
THE LEADING
SOCIMI IN THE
SPANISH REAL
ESTATE MARKET**

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01

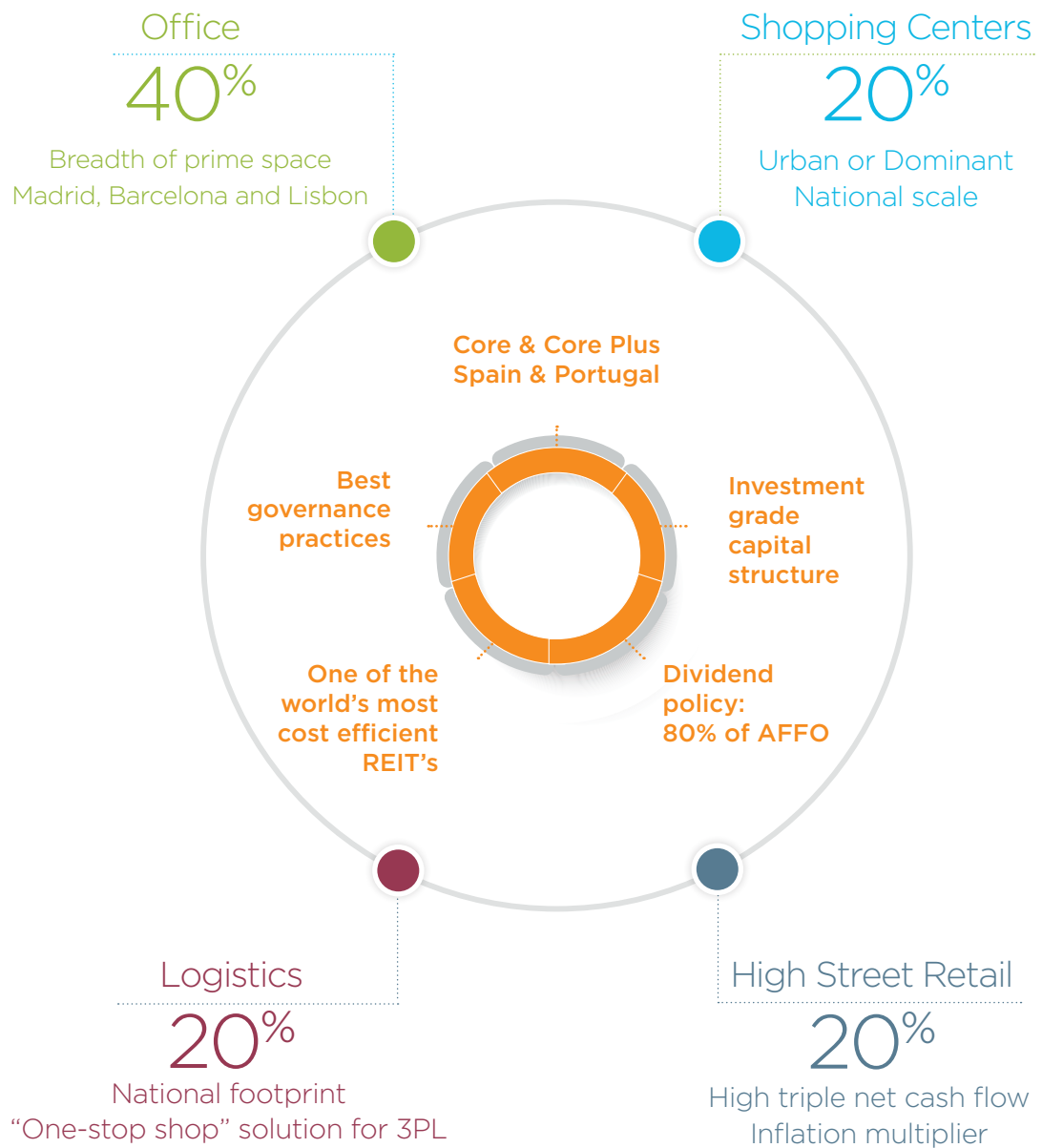
ORGANIZATION
AND ESTRUCTURE

ORGANIZATION AND ESTRUCTURE

Strategy

MERLIN Properties Socimi, S.A. (“MERLIN”, “MERLIN Properties” or the “Company”) is a company devoted to delivering sustainable return to shareholders through the acquisition, active management and

selective rotation of high quality commercial real estate assets in the “Core” and “Core plus” segments.



Composition

The internal management organization structure can be summarized as follows:

- Board of Directors: consisting of twelve directors, advised by both the Audit and Control Committee and the Appointments and Remuneration Committee.
- Chief Executive Officer: reporting directly to the Board of Directors and forming part of it.
- Investment Committee: reporting to the CEO and consisting of the executive team, with a right of veto by the Chief Investment Officer.



- Appointments and Remuneration Committee
- Audit and Control Committee
- Independent Directors

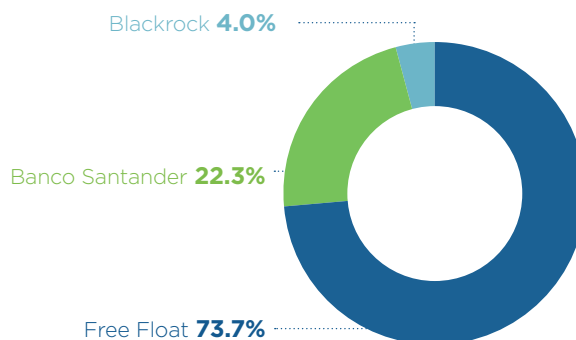
Mónica Martín de Vidales
Secretary

Ildefonso Polo del Mármol
Vice-Secretary

Capital structure key data (€ thousand)

Number of ordinary shares	469,770,750
Number of weighted shares	469,770,750
Total equity	3,928,179
Net debt	3,918,488

Data as of 27 February 2018, according to the communications made to the CNMV







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KEY ASPECTS

KEY ASPECTS

1. Capital structure

During 2017 the following events have had an impact in the capital structure of MERLIN Properties.

Merger of Centros Comerciales Metropolitanos and Explotaciones Urbanas Españolas

On 27 June 2017, the Board of Directors of MERLIN approved the merger by absorption deal for the integration of Centros Comerciales Metropolitanos and Explotaciones Urbanas Españolas within the Parent, through the transfer en bloc of the former's assets to the latter. On 14 October 2017 the merger deed was registered in the Madrid Commercial Registry.

At the time of the approval of the merger by the General Shareholders Meeting of the absorbed company, the Company owned 100% of the share capital of both companies.

2. Investment activity and divestments

In 2017 the main acquisition of the Company has been Torre Glòries, the iconic office building located in Barcelona, with an acquisition price of € 142 million and a gross lettable area of 37,314 sqm. The Company will invest a minimum of € 15 million in the upgrading of the building and reversion into multitenancy.

2017 has been an intense year in extracting value from the portfolio of assets through refurbishment. The Company has also bought some retail units in its portfolio of shopping centers that were owned by third parties. In aggregate, these investments amount to € 42.1 million.

Divestments in the year include some office and high street retail units for a total amount with meaningless impact in the profit and loss accounts.

3. Results

In 2017, the Company recorded total revenues of € 382,749 thousand, recurring EBITDA of € 321,504 thousand, a recurring FFO of € 233,562 thousand and a net consolidated result of € 113,569 thousand.

	31/12/2017	31/12/2016	31/12/2015
Total revenues	382,749	235,245	69,562
Personnel and general expenses	(105,083)	(80,492)	(35,341)
EBITDA	277,666	154,753	34,221
Net financial expenses	(87,942)	(60,149)	(4,794)
FFO	189,724	94,604	29,427
Depreciation	(64,611)	(55,861)	(44)
Provision surpluses	(1,060)	-	476
Impairment and profit (loss) on disposal of fixed assets	(39,350)	(13,078)	-
Negative difference on business combination	-	73,116	-
Change in fair value of financial instruments	5,714	(6,244)	-
Impairment and profit (loss) on disposal of financial instruments	(12,366)	25,533	-
Profit before taxes	78,051	118,070	29,859
Income taxes	36,484	896	-
Profit (loss) for the period attributable	114,535	118,966	29,859

A nighttime photograph of a cityscape, likely Barcelona, featuring the illuminated Torre Agbar as the central focus. The tower is a tall, conical structure with a grid-like facade, glowing with warm yellow and orange lights. The surrounding city is dark, with various buildings and streetlights visible. A large, semi-transparent circular graphic is overlaid on the left side of the image, containing the number '03' in a large, white, sans-serif font. Below the number, the text 'FINANCIAL STATEMENTS' is written in a smaller, white, sans-serif font. The top left corner of the image has a blue and white geometric design.

03

FINANCIAL STATEMENTS

INCOME STATEMENT

(€ thousand)	2017 Period	2016 Period
Revenues	379,808	230,933
Works carried out by the company for its assets	-	498
Other operating income	2,941	3,814
Personnel expense	(70,339)	(42,021)
Other operating expenses	(34,744)	(38,471)
Depreciation and amortization	(64,611)	(55,861)
Provision surpluses	(1,060)	-
Impairment and profit (loss) on disposal of fixed assets	(39,350)	(13,078)
Negative difference on business combinations	-	73,116
PROFIT/(LOSS) FROM ORDINARY ACTIVITIES	172,645	158,930
Finance income	594	1,091
Finance costs	(88,536)	(61,240)
Change in fair value of financial instruments	5,714	(6,244)
Impairment and profit (loss) on disposal of financial assets	(12,366)	25,533
FINANCIAL PROFIT/(LOSS)	(94,594)	(40,860)
PROFIT/(LOSS) BEFORE TAX	78,051	118,070
Income tax	36,484	896
PROFIT/(LOSS) FOR THE PERIOD	114,535	118,966

BALANCE SHEET

(€ thousand)

ASSETS	31/12/2017	31/12/2016
NON CURRENT ASSETS	7,997,299	7,512,243
Intangible assets	271,824	296,297
Property plant and equipment	3,837	3,515
Investment property	4,718,796	4,588,193
Investments in group companies	2,858,235	2,426,684
Long term financial assets	36,543	86,539
Deferred tax assets	108,064	111,015
CURRENT ASSETS	860,719	1,132,469
Inventories	1,468	1,029
Trade and other receivables	62,708	445,542
Investments in group companies	490,786	511,139
Short term financial assets	5,217	6,181
Accruals/deferrals	4,933	104
Cash and cash equivalents	295,607	168,474
TOTAL ASSETS	8,858,018	8,644,712

EQUITY AND LIABILITIES	31/12/2017	31/12/2016
EQUITY	3,928,179	4,025,426
Subscribed capital	469,771	469,771
Share premium	3,970,842	4,017,485
Reserves	(504,727)	(514,154)
Treasury shares	(24,881)	(105)
Other shareholder contributions	540	540
Profit for the period	114,535	118,966
Interim dividend	(93,457)	(59,759)
Hedging transactions	(4,444)	(7,318)
NON CURRENT LIABILITIES	4,636,976	4,406,034
Long term debt	4,105,153	3,905,607
Long term provisions	69,715	28,382
Debt with group companies	29,853	12,183
Deferred tax liabilities	432,255	459,862
CURRENT LIABILITIES	292,863	213,252
Short term provisions	867	867
Short term debt	163,319	42,064
Intercompany loans	40,497	35,314
Trade and other payables	80,891	132,329
Short term accruals/deferrals	7,289	2,678
TOTAL EQUITY AND LIABILITIES	8,858,018	8,644,712

FINANCIAL DEBT

MERLIN Properties has maintained during 2017 an “investment grade” credit rating by Standard & Poor and Moody’s. Concretely, S&P grants a BBB rating (stable) and Moody’s Baa2 (stable). MERLIN has

executed 2 issuances for an aggregated amount of € 900,000 thousand during the period, with the following characteristics:

	MRL III	MRL IV
Issuance date	26 May 2017	18 September 2017
Size (€ thousand)	600,000	300,000
Coupon	1.750%	2.375%
Expiration date	26 May 2025	18 September 2029
Spread on Euribor	ms + 125 bps	ms + 150.8 bps
Covenants		
LTV	≤ 60%	≤ 60%
ICR	≥ 2.5x	≥ 2.5x
Unencumbered ratio	≥ 125%	≥ 125%



As of 31 December 2017 the detail of current and non-current liabilities is the following:

(€ thousand)	2017	2016
Non-current:		
<i>Measured at amortised cost</i>		
Syndicated loan	840,000	1,220,000
Syndicated loan arrangement expenses	(5,444)	(12,082)
Total syndicated loan	834,556	1,207,918
Revolving credit facility	-	180,000
Leasing, credits and loans	-	124,911
Arrangement expenses	-	(263)
Total other loans	-	304,648
Bonds and debentures	3,250,000	2,350,000
Debenture arrangement expenses	(28,683)	(22,655)
Total bonds and debentures	3,221,317	2,327,345
Total amortized cost	4,055,873	3,839,911
<i>Measured at fair value</i>		
Derivative financial instruments	1,814	17,391
Total at fair value	1,814	3,857,301
Total non-current	4,057,687	3,857,301
Current:		
<i>Measured at amortised cost</i>		
Syndicated loan	1,002	1,474
Bonds and debentures	34,007	25,629
Leasing, credits and loans	123,555	10,849
Revolving credit facilities	112	225
Total amortised cost	158,676	38,177
<i>Measured at fair value</i>		
Derivative financial instruments	1,581	1,186
Total at fair value	1,581	1,186
Total current	160,257	39,363

For financial liabilities measured at amortised cost, there is no significant differences between the book value and their fair value.

The detail of MERLIN's debt maturity is as follows:

(€ thousand)		Debt with financial institutions			
	Limit	Debt arrangement expenses	31/12/2017		Short term interests
			Long term	Short term	
Syndicated loan	1,220,000	(5,444)	840,000	-	1,002
Leasing	149,125	-	-	123,555	
Revolving credit facilities	420,000	-	-	-	112
Total	1,789,125	(5,444)	840,000	123,555	1,114

RETURN TO SHAREHOLDERS

The Shareholder Return for a given year is equivalent to the sum of (a) the change in the EPRA NAV per share of the Company during such year; and (b) the total dividends per share (or any other form of remuneration or distribution to the Shareholders) that are paid in such year (the "Shareholder Return"). The Shareholder Return Rate is defined as the Shareholder Return for a given year

divided by the EPRA NAV of the Company as of 31 December of the immediately preceding year (the "Shareholder Return Rate"). In accordance with these definitions, the Shareholder Return in 2017 amounts to € 2.42 per share (or € 1,137,918 thousand of value created in absolute terms) and the Shareholder Return Rate amounts to 21.6%.

	Per share (€)	€ thousand
EPRA NAV 31/12/2016	11.23	5,274,730
NAV growth in 2017	2.02	949,639
EPRA NAV 31/12/2017	13.25	6,224,741
DPS	0.40	187,907
NAV growth + DPS (Shareholder Return)	2.42	1,137,918
Shareholder Return Rate	21.6%	



04

EVENTS POST-CLOSING

EVENTS POST-CLOSING

- On January 19 2018, the service level agreement with Testa Residencial was cancelled. In exchange MERLIN Properties will increase its stake in Testa Residencial to 16.95%
- On 13 February 2018, MERLIN fully repaid € 122.6m of property leaseings.



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STOCK EXCHANGE
EVOLUTION

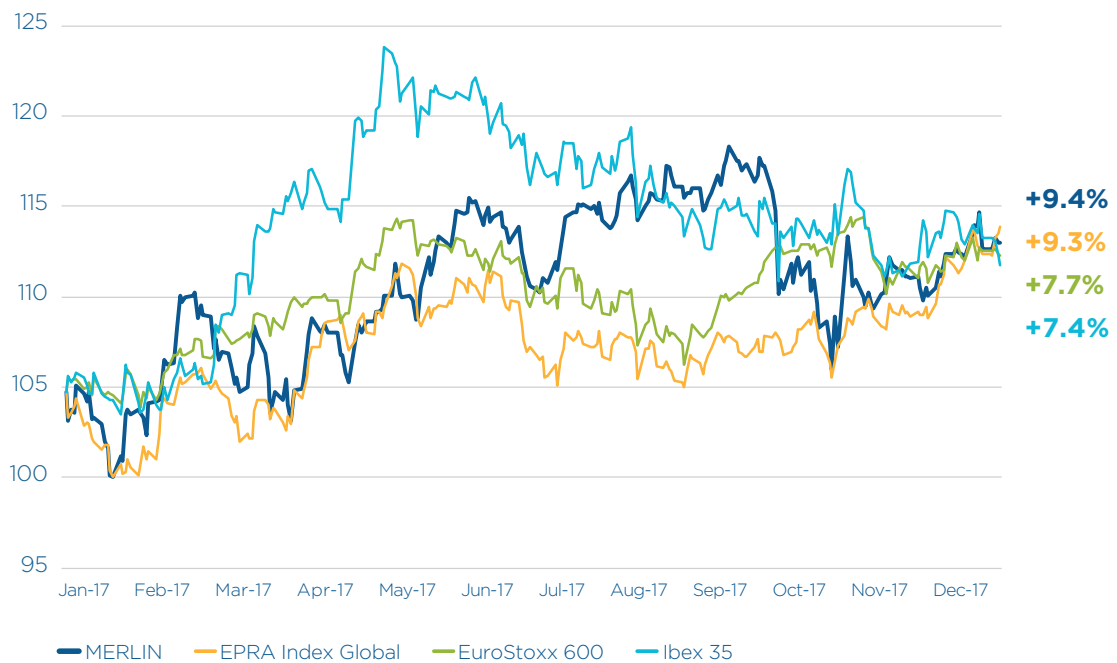
STOCK EXCHANGE EVOLUTION

MERLIN shares closed on 31 December 2017 at € 11.30, an increase of 9.4% versus 31 December 2016 closing price (€ 10.33).

The share has outperformed the sectorial EPRA Europe reference index (+9.3%), IBEX-35 (+7.4%) and Euro Stoxx 600 (+7.7%)

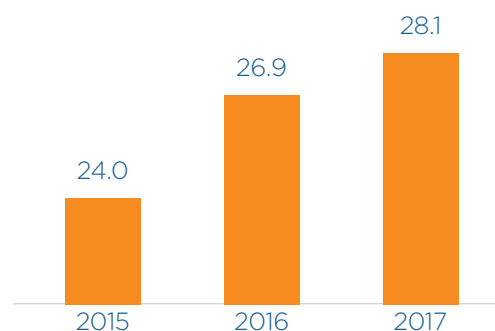
MERLIN share price performance vs IBEX 35 / EPRA Index / Euro Stoxx 600

Rebased to 100



Average daily trading value (€ m)

Average daily trading volume during the period has been € 28.1 million, which represent a 0.6% of the average market capitalization of 2017.



As of the date of this report, MERLIN is covered by a wide variety of 24 equity research houses. Consensus target price is € 12.75.

Target prices and analyst recommendations

Broker	Report date	Recommendation	Target price
 SOCIETE GENERALE	22-02-18	Buy	13.10
 Kepler Cheuvreux	19-02-18	Buy	13.70
 JBCapitalMarkets	01-02-18	Buy	13.50
J.P.Morgan	31-01-18	Buy	13.51
fidentiis	25-01-18	Buy	13.50
 EXANE BNP PARIBAS	11-01-18	Buy	12.70
 GVC Gaesco	14-12-17	Buy	12.30
 Goldman Sachs	01-11-17	Neutral	11.70
 CREDIT SUISSE	30-10-17	Buy	12.50
 BPI	25-10-17	Buy	12.45
 Sabadell	25-10-17	Buy	12.85
 UBS	24-10-17	Buy	12.40
 Bank of America	25-09-17	Neutral	11.80
 MIRABAUD	11-09-17	Sell	11.50
Deutsche Bank	07-09-17	Buy	14.00
BBVA	06-09-17	Buy	13.00
Morgan Stanley	29-08-17	Buy	14.50
ALANTRA	25-08-17	Neutral	12.25
 Green Street Advisors	16-08-17	Neutral	12.55
 HAITONG	13-07-17	Neutral	12.00
 ING	11-07-17	Buy	13.30
bankinter	26-06-17	Buy	12.79
 KEMPEN & CO	09-04-17	Buy	12.00
 intermoney valores sv	19-09-16	Buy	12.10
Market consensus			12.75





06

DIVIDEND POLICY.

DIVIDEND POLICY

The Company maintains a dividend policy that takes into account sustainable levels of distributions, and shows the Company's forecast in relation to obtaining recurring profits. The Company does not intend to create reserves that cannot be distributed to the shareholders, other than those required by law.

According to the Spanish regime for REIT's, the Company will be obligated to adopt agreements to distribute the profits obtained in this financial year in the form of dividends to shareholders, after complying with any relevant requirement of the Spanish Corporation Law. The Company will be obligated to agree its distribution within six months of the close of each financial period, in the following manner: (i) at least 50% of the profits derived from the transfer of real properties, shares, or shareholdings in qualified affiliates, provided that the remaining profits are reinvested in other real estate assets within a maximum period of three years from the date of transmission or, if not, 100% of the profits must be distributed as dividends at the end of this three year period; (ii) 100% of the profits obtained by receiving dividends paid by qualified subsidiaries; (iii) at least 80% of

the rest of the obtained profits. If the dividend distribution agreement is not adopted within the legal timeframe, the Company will lose its REIT status during the financial year to which the dividends refer.

In accordance with the Prospectus, MERLIN Properties targets to deliver a dividend yield of between 4% and 6% over the initial IPO price. The Company's dividend policy is established as the distribution of a minimum of the 80% cash flow from operations less the payment of recurring expenses of maintaining assets. The distributions to MERLIN's shareholders during 2017 are shown in the chart. The Board of Directors of MERLIN Properties agreed on 9 October 2017, to distribute a dividend on account of 2017 results for a gross amount of € 0.20 per share. The management team of MERLIN Properties will propose a complimentary dividend on account of 2017 results, being subject to the 2018 General Shareholders Meeting. The complimentary dividend would be a gross amount of 0.26 euros per share, expected to be distributed in May 2018, for a total distribution in the year of 0.46 euros per share versus 0.40 euros in 2016.

Type	Date	Concept	€ per share
Interim 2015	28-oct-15	Dividend	0.0775
Final 2015	27-abr-16	Dividend	0.005692
Final 2015	27-abr-16	Share premium distribution	0.102608
Total 2015			0.19
Interim 2016	25-oct-16	Dividend	0.185
Interim 2016	25-oct-16	Share premium distribution	0.02
Final 2016	18-may-17	Dividend	0.10071014
Final 2016	18-may-17	Share premium distribution	0.09928767
Total 2016			0.40
Interim 2017	25-oct-17	Dividend	0.20
Final 2017	Pending AGM Approval		0.26
Total 2017			0.46

A photograph of a modern, multi-story building with a glass facade and balconies. A large, semi-transparent circular graphic is overlaid on the left side of the image, containing the number '07' in a large, white, sans-serif font. The building is set against a clear blue sky, and the foreground shows a paved area with some greenery.

07

MAIN RISKS AND UNCERTAINTIES

MAIN RISKS AND UNCERTAINTIES

The policies of financial risk management within the commercial real estate sector deal mainly with the analysis of investment projects, the management of the building's occupation and the situation of the financial markets:

- Credit risk: credit risk relating to the Company's ordinary business is not significant because the contracts signed with the tenants require payment in advance of most sums. These contracts also require the tenant to provide legal and additional financial guarantees or deposits to cover possible nonpayment of the rent. This risk is also mitigated by the diversification of the type of product in which the Company invests and consequently the typology of clients.
- Liquidity risk: The Company, in order to manage liquidity risk and to meet the needs of funds, uses an annual budget and monthly forecast of the liquid assets. This monthly forecast is detailed and updated on a daily basis. The main liquidity risk is due to the potential for negative working capital resulting from short term debt. The factors mitigating liquidity risk include the following: (i) cash generated in the ordinary course of business is very stable; and (ii) the company's liabilities are largely long-dated and the high quality of the assets provides ample ability to obtain new sources of funding. When formulating consolidated annual accounts, the Company had already covered all of its funding requirements, enabling it to meet its commitments with providers, employees and the Public Sector, according to the cash flow for FY2017. Furthermore, given the type of industry in which the Company operates, the investments, the financing for such investments, the stable EBITDA generated and the high occupancy rate of properties is more likely to produce surplus cash. The company's policy is to invest this cash in short-term investments and liquid deposits with highly rated institutions. The acquisition of options or futures on stocks, or any other high-risk activities as a means of investing its cash surplus are not considered by the Company.
- Interest rate risk: in order to minimize the Company's exposure to this risk, financial hedges, such as interest rate swaps, have been executed.
- Exchange rate risk: the Company's policy is to contract debt only in the same currency as that of the cash flows of each business. Therefore, the Company is currently not exposed to exchange rate risk. Within this type of risk, it is noted the fluctuation of the exchange rate in the conversion of the financial statements of the foreign companies whose functional currency is other than euro.
- Market risk: MERLIN Properties is exposed to market risk from potential downward movement in rental rates when current contracts terminate. This risk could negatively affect the cash flow and valuation of the assets of the Company. However, the market risk is mitigated by policies of attracting and selecting new high quality clients and negotiating compulsory lease terms that maximize the length of the lease term.



08

TREASURY SHARES

TREASURY SHARES

As of 31/12/2016 the Company owned 10,230 treasury shares. During 2017, the Company, with the intention of covering the shares that need to be distributed in the future to the beneficiaries of the 2016 long term incentive plan that was awarded last year, bought on 18 May 2017 an amount of 3.3 million shares, from Banco Popular. In accordance with the delivery conditions of the 2016 shares awarded under the long term incentive plan, 990,000 shares have been delivered to the beneficiaries on October and December. The breakdown of the treasury shares change in the year is as follows:

	Acquisitions	Disposals	Total
31/12/2016 Balance			10,230
May 2017	3,300,000	-	3,300,000
October 2017	-	(825,000)	(825,000)
December 2017	-	(165,000)	(165,000)
31/12/2017 Balance			2,320,230



09

OUTLOOK / R+D
INFORMATION / OTHER



OUTLOOK / R+D INFORMATION / OTHER



In 2018, MERLIN expects to continue with high occupation rates and the maintenance of strong cash flow due to the long remaining lease period (6.7 years from 31 December 2017, weighted by each tenant rents).

The Company also expects to continue with the acquisition of assets that fit within its investment strategy. To this end, it holds a cash position of 454 million euros. In this regard, in 2017, in accordance to our best estimates, average payment period to suppliers was 38.7 days.

The Company has not developed any research and development activities during 2017.

Employees

The average number of employees of the Company during 2017 amounts to 127 of which 45% are women.

Corporate responsibility

The Group's activities, given their nature, do not generate a significant environmental impact.



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